

This kind of an investment is not only very risky, but usually very expensive. I believe the income potential for oil and gas over the next 10-15 years is excellent. I would rate it a 7-8, but I would also rate the risk at 9-10. If you plan to invest in oil and gas, only risk a small ratio of your assets and don't let anybody talk you into risking larger amounts.

COMMODITIES MARKET: Commodities speculation requires a relatively small dollar investment and can bring very high profits, primarily through the use of leverage. A \$1,000 investment in the commodities market can control \$10,000 worth of contracts (or more) for future delivery. If that sounds good, then there's an old cliché you need to hear: "A fool and his money are soon parted." Approximately 1 out of every 200 people who invest in the commodities market ever gets *any* of his money back. That doesn't mean he made a profit; that means he only recovered his initial investment. Investing in commodities is probably the closest thing to gambling that most people ever try. In fact, it is gambling. You can lose everything you own, and even more. Income potential, 10+. Risk, 10+.

COLLECTIBLES: These are antiques, old automobiles, paintings, figurines, et cetera. There are a number of advantages to speculating in collectibles. One is that you can use them while you hold them to sell. For instance, you can rebuild antique cars, as my son and I do, and drive them while shopping for buyers.

One of the most important prerequisites to investing in collectibles is knowledge. You need to know value before investing. Second, you need to put some time and labor into locating the best places to buy and sell. Third, you must have the capital to wait for just the right buyer. Often novice investors get discouraged and sell out at a loss.

Unless you have a high degree of knowledge in this area, the risk is inordinately high. With most items like antiques, automobiles, figurines, and paintings, you can develop the expertise you need by reading and talking with other people. The rate of return on collectibles can easily be 10+. But the risk of